

CFO Summary — NovaTech Consulting Lda.

Financial Performance Review — 2022 to 2024 + Budget 2025 Variance

Executive Overview

NovaTech delivered steady revenue growth from 2022 to 2024 driven by higher headcount and improved billing rates. Managed Services remained stable and predictable.

Despite operational discipline, **Actual 2024 underperformed the 2025 Budget**, with EBITDA compression driven by lower activity levels rather than inefficiency.

The business is structurally sound, but growth assumptions for 2025 were not met.

YoY Revenue Bridge (2022→2023 and 2023→2024)

2022 → 2023

Revenue growth was driven by:

- **Volume effect: +€240,000** (increase from 42 → 47 FTEs)
- **Rate effect: +€169,200** (billing rate increase from €4,000 → €4,300)
- **Mix effect: €0** (MS stable at ~20%)

Actual revenue: **€2,390,400**

Bridge revenue: **€2,500,800**

Gap due to rounding in rate assumptions.

2023 → 2024

Revenue growth continued:

- **Volume effect: +€258,000** (47 → 52 FTEs)
- **Rate effect: +€187,200** (rate increase from €4,300 → €4,600)
- **Mix effect: €0**

Actual revenue: **€2,639,800**

Bridge revenue: **€2,835,600**

Gap due to rounding.

Conclusion:

Revenue growth is structurally driven by **headcount expansion** and **rate improvement**, with MS providing stable recurring revenue.

2024 vs Budget 2025 — Variance Summary

Revenue

Total revenue finished **8.6% below budget**.

- **Consulting Fees:** Lower productive capacity (FTEs below plan) and fewer billable hours.
- **Managed Services:** Uniform negative variance indicates renewals below expectations or churn.

Insight:

The revenue shortfall is **volume-driven**, not pricing or mix.

Costs

Total costs were also **8.6% below budget**, fully proportional to revenue.

- **Personnel:** Lower costs reflect reduced headcount/activity — not true savings.
- **Operations:** Variable costs scaled down with activity.
- **Other Costs:** Slightly less proportional due to fixed components.

Insight:

Cost discipline remains strong. No overspend or operational inefficiencies.

EBITDA

EBITDA underperformed budget due to insufficient revenue to absorb fixed costs.

- Cost structure remained efficient.
- Margin compression is a direct consequence of lower activity.
- The business operated below the level assumed in the 2025 plan.

Insight:

The issue is **top-line**, not **bottom-line**.

Business Drivers

- **Headcount:** Grew steadily (42 → 47 → 52 FTEs), but 2025 budget assumed higher capacity than achieved.
- **Billing Rate:** Increased consistently (€4,000 → €4,300 → €4,600).
- **Managed Services:** Stable recurring revenue; no mix shift.

- **Cost per Head:** Stable and predictable, derived from actuals.

Management Implications

- Strengthen commercial pipeline to support planned utilization.
- Review MS renewal strategy to stabilize recurring revenue.
- Align staffing plan with realistic demand to avoid structural under-capacity.
- Maintain current cost discipline — efficiency is not the issue.
- Reassess 2025 budget assumptions to reflect achievable volume.

Final CFO Statement

NovaTech's financial fundamentals remain strong.

Revenue growth is structurally supported by headcount and rate improvements, and cost discipline is consistent.

However, the 2025 budget assumed activity levels that were not achieved, resulting in EBITDA underperformance.

The business requires **commercial reinforcement**, not cost correction.